PIRANHA PROFITS

LESSON 3

Big Players Demand Supply Manipulation

BY: ALSON CHEW

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IDENTIFYING KEY STOP HUNTING LEVELS (LP)

Recommended Time Frame for Swing Trading Stocks

1. 1 year 2 Days (If you have access, if not 1 year 1 Day)
2. 4 years 1 Week

Rational why we prefer using 1 year 2 Days

✔ The higher the time frame, the more “distinct” the structure will be.

✔ Since our methodology is more focused on price action manipulation structures, higher probability trades tend to exist in more “distinct” structures

✔ Distinct structures have the following characteristics:

- Clear force top/bottom
- Able to check for majority flush (MF)

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IDENTIFYING KEY STOP HUNTING LEVELS (LP)

Basic Technical Analysis Terms

Resistance
A term in technical analysis indicating a price area higher than the existing price of the stock or future where sellers are thought to exist. Support is the opposite of Resistance.

Support
A term in technical analysis indicating a price area lower than the existing price of the stock or future where buyers are thought to exist. Resistance is the opposite of Support.

- ✔ Key Resistance and Support levels are created by distinct swing highs and swing lows level.
- ✔ When drawing key stop hunting levels, traders will keep swing highs and lows level that **are not breached** in the given time frame.
- ✔ We term key swing highs and lows levels that are not breached as **left precedence (LP)** levels.
- ✔ Identifying **LP levels** requires some screen time as it is both an **art and science** in charting.

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IDENTIFYING KEY STOP HUNTING LEVELS (LP)

Left Precedence (LP)

LP is essentially a horizontal price level created by a Swing High or Swing Low.

Swing High
Horizontal price level line created by _____ shaped price movement.

Swing Low
Horizontal price level line created by _____ shaped price movement.



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DEMAND SUPPLY MANIPULATION

Market Processes

- ✔ The **accumulation process** is a hidden process whereby the Market Maker manipulates the public to sell or cut their long positions into him to achieve a **net long** position before obvious buying takes place.

- ✔ The **distribution process** is a hidden process whereby the Market Maker manipulates the public to buy or cut their short positions into him to achieve a **net short** position before obvious selling takes place.

Demand and Supply

- ✔ Maximum public **demand** turn Market Makers book **net SHORT** – Strong incentive for **price to come down**

- ✔ Maximum public **supply** turn Market Makers book **net LONG** – Strong incentive for **price to go up**

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DEMAND SUPPLY MANIPULATION

Fundamental Principles of Market Manipulation

✔ Big boys/Market Makers/Large hedge funds have one common goal that is to manipulate the rest of the trading community to achieve their end goal. They make the market for profits.

- **Fundamental principles of economics - Incentive drives behavior** .

- Price movement is the result of **net accumulated (long)** or **distributed (short) interest**.

✔ Majority of chart pattern comes from double top/bottom levels

✔ **Whether to long or short, we will have to decide using our strategy patterns/structures. At this juncture to understand the significance of force top/bottom as fundamentals in chart manipulation**

✔ The 3 different types of double top/bottom levels

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DEMAND SUPPLY MANIPULATION

Forced Top

Forced double top is when price **pierce above the prior left precedence level and closed back at or below the left precedence double top level.**

Double Top and Forced Top Illustration

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DEMAND SUPPLY MANIPULATION

Forced Bottom

Forced double bottom is when price **pierce below the prior left precedence level and closed back at or above the left precedence double bottom level.**

Double Bottom and Forced Bottom Illustration

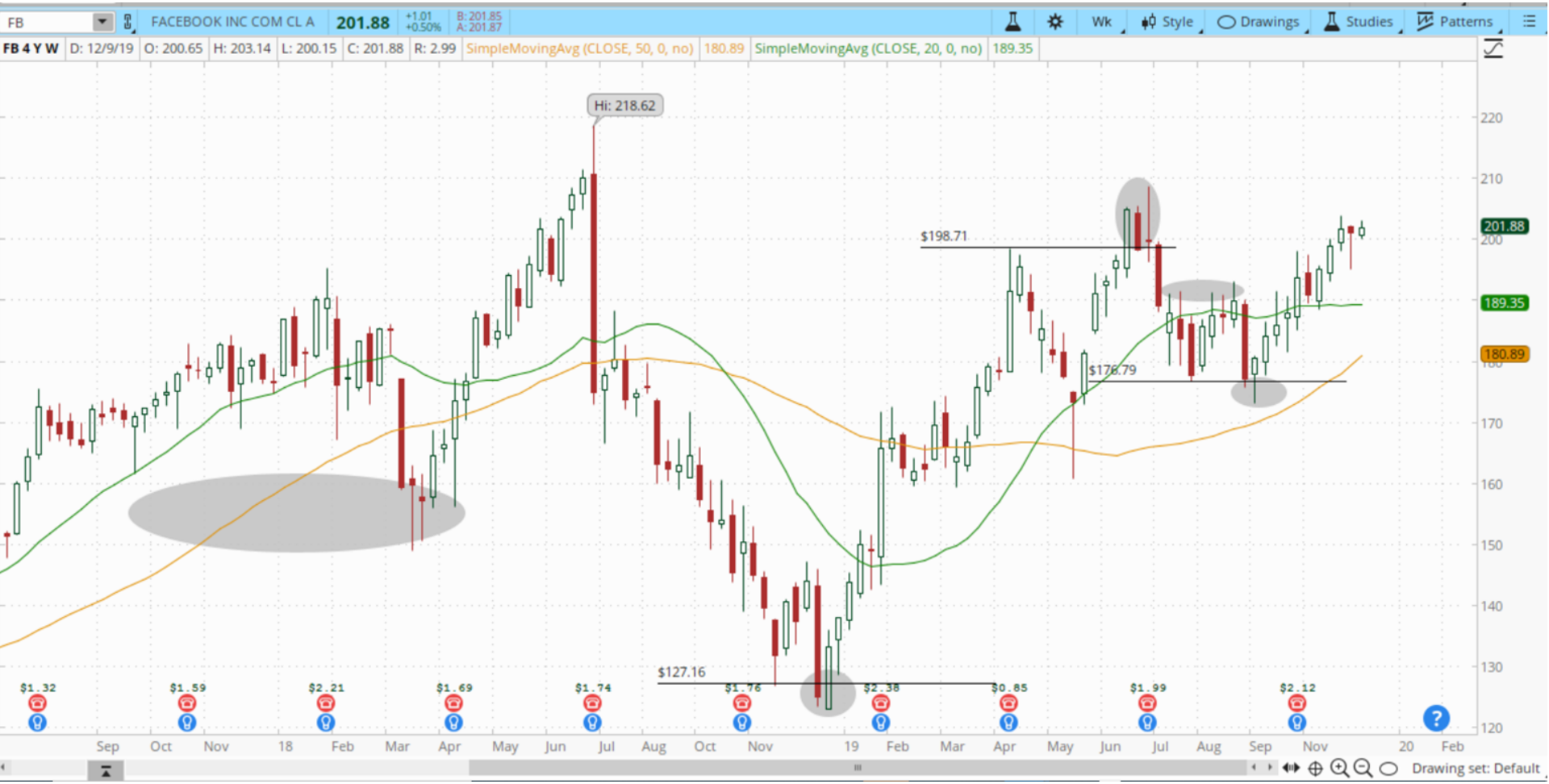
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